

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 23-03

CERTIFIT, INC.

COMPLAINANT

V.

**EVERGREEN SHIPPING AGENCY (AMERICA) CORP., AS AGENT FOR
EVERGREEN LINE, EVERGREEN GROUP d/b/a EVERGREEN LINE**

RESPONDENTS

**COMPLAINANT’S REVISED RESPONSES TO
RESPONDENT’S REVISED PROPOSED FINDINGS OF FACT**

Pursuant to the Second Order to Correct Filings dated May 29, 2024, Complainant, CertiFit, Inc. (“CertiFit”), through undersigned counsel, hereby provides its Revised Responses to Respondent’s Revised Proposed Findings of Fact:

1. At all pertinent times, EGA¹ was and is an agent, and agent only, acting within the scope of its agency for the identified Carrier, Evergreen Line A Joint Service Agreement (FMC#01 1982) consisting of 1) Evergreen Marine Corp. (Taiwan) Ltd' 2) Evergreen Marine (UK) Limited 3) Italia Marittima SPA 4) Evergreen Marine (Hong Kong) Ltd. 5) Evergreen Marine (Singapore) Pte. Ltd. (Service Contract, Exhibit A), as well as Evergreen Marine (Asia) Pte. Ltd. See, RX 2, 10-11, 16, 24, 26, 28, 30, 45, 47-48, 50, 68-69, 74, and 77.

RESPONSE: Denied. The facts demonstrate that EGA (1) it holds itself out to the general public as providing transportation by water for passengers or cargo between the United States and a foreign country; (2) it assumed responsibility for transporting the passengers or cargo from the port or point of receipt to the port of destination; and (3) use, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a United States port and a foreign port. This conclusion is supported by EGA’s negotiating the contract terms, executing the Contract, suspending CertiFit’s shipments, and being the main point of contact. Alternatively, EGA, as the agent of a disclosed principal, has acted outside the scope of its agency, or manifested an intention to bind itself instead of, or in addition to, its principal. *See Reply*, pp. 3-4.

2. EGA is not a common carrier, ocean transportation intermediary, or terminal operator. Nor does EGA hold itself out as such, take responsibility for cargo transportation or storage, or make use of ocean-going vessels. See, RX 2, 10-11, 16, 24, 26, 28, 30, 45, 47-48, 50, 68-69, 74, and 77.

RESPONSE: Denied. *See Reply*, pp. 3-4.

3. Moreover, EGA’s status “As Agent” for EVERGREEN was expressly disclosed in the subject Service Contract, the Bills of Lading, all of the correspondence, and the EGA’s website cited

¹ Respondent’s Proposed Findings of Fact define Respondent, Evergreen Shipping Agency (America) Corp. as “EGA” and Evergreen Line A Joint Service Agreement” as “Evergreen.” CertiFit’s brief has defined Evergreen Shipping Agency (America) Corp. as “Evergreen” or “Respondent.” In the interest of clarity, CertiFit will incorporate EGA’s definitions as applied to its Responses to EGA’s Proposed Findings of Fact.

by the Complainant, CERTIFIT INC. (“CERTIFIT”). See, RX 2, 10-11, 16, 24, 26, 28, 30, 45, 47-48, 50, 68-69, 74, and 77.

RESPONSE: Denied. *See* Reply, pp. 3-4.

4. The Service Contract at issue covered the period from April 27, 2020 to April 30, 2021 and called for a Minimum Quantity Commitment (“MQC”) of 1,000 TEU’s. See, RX 2 and 12.

RESPONSE: Admit.

5. Given the uncertainties in the trade, and as a key factor impacting the applicable rates, the parties to the Service Contract agreed in advance to avail themselves only of particular remedies in the event any failure to meet Minimum Quantity Commitment (“MQC”). See, RX 2-3, and 13. It took particular pains to memorialize that, “[t]he Carrier and Merchant agree that in light of the fact that the volume and timing of cargo tendered hereunder for particular sailings is in the control of the Merchant, who cannot specify with certainty the amount of cargo which it will tender on any given date, and by virtue of the fact that the Carrier has a finite amount of space on its vessels in which to carry the Merchant's cargo as well as cargo carried pursuant to Service Contracts entered into with other Merchants in the trade, some flexibility is needed by the Carrier with respect to its service commitment to the Merchant hereunder.” See, RX 2-3, and 13.

RESPONSE: Admit in part and deny in part. CertiFit admits that the referenced language from the 2020 Service Contract speaks for itself but denies any implication that the contractual language precludes CertiFit from seeking reparations or any implication that CertiFit breached the 2020 Service Contract.

6. CERTIFIT’s [sic] could thus elect to have EVERGREEN “subtract the quantity of cargo tendered but not carried on Carrier's vessel from the Minimum Quantity Commitment.” See, RX 3 and 13. Otherwise, EVERGREEN might be entitled to liquidated damages for any shortfall on the part of CERTIFIT. See, RX 3 and 16. (As discussed below, for this reason EVERGREEN offered to amend the Service Contract to reduce the MQC, since the shortfall arose solely due to the supply-chain disruptions caused by the COVID-19 Pandemic. This second Amendment had nothing to do with the earlier Amendment offered to add a port, without a reduction in the MQC, in the hope that more CERTIFIT cargo might be booked).

RESPONSE: Admit in part and deny in part. CertiFit admits that Section 3.2.1 of the 2020 Service Contract speaks for itself. CertiFit denies it was unable to tender the MQC of 1,000 TEUS contained in the 2020 Service Contract. *See* CX13-0816-0821 (CertiFit business record showing booking requests totaling approximately 522 containers from

August 27, 2020 through April 8, 2021). Moreover, EGA fails to outline the Merchant's remedy pursuant to Section 3.2.2, which states: "If the Merchant does not elect to reconcile the shortage by reducing the Minimum Quantity Commitment set forth in Article 5, pursuant to subparagraph 3.2.1 above, then such shortage will be reconciled upon expiration of the Contract by extending the term of the contract pursuant to the following formula:

No. of TEUS (FEUS if applicable) deductible
Pursuant to Clause 3.2.1 = Maximum Number of Additional Sailings

The pro rata basis (as defined in Clause 3.2.1

Notwithstanding the above formula, in no event shall the extension exceed (10) consecutive sailings. The extension of the term of this Contract pursuant to this Section must be filed in writing on or before the expiration date with the FMC as per 46 C.F.R. 530.8.

RX000013-14.

Respondent's document RX0000065, demonstrates that the above-referenced formula describes the Contract being extended by the number of "sailings," (as opposed to time) however, EGA failed to provide any response to CertiFit's 4/29/21 e-mail correspondence, which requested additional "data" to gain an understanding of how many additional sailings it would be entitled to. *See generally* Respondent's Exhibits I – L (RX-64-66, RX-67-69, RX-70-72, and RX-73-79); *see also* CX7-0582-0584 (4/19/21 correspondence to EGA requesting the same information).

CertiFit further denies EGA's characterization that the two amendments were proposed "in the hope that more CertiFit cargo might be booked." EGA held up all CertiFit bookings until the First Amendment proposing the addition of the Port of Taipei

was executed. CX7-0586. Because CertiFit and its shippers relied upon the port pairs agreed upon, CertiFit did not execute the First Amendment. CX4-0486. Considering the number of booking requests by CertiFit from August 27, 2020 – April 8, 2021, the proposed Second Amendment reducing the MQC from 1,000 TEUs to 25 TEUs only benefitted Respondent as it would diminish the number of additional sailings CertiFit would be entitled to. RX000010-RX000018.

7. The Service Contract provided:

If the Carrier fails to fulfill its Service Commitment in Article 3 hereof during the Contract term, the Merchant's remedy shall be either (1) reduction of the Minimum Quantity Commitment by the quantity of cargo tendered but not carried as provided in subparagraph 3.2.1 or, (2) the extension of the Contract term as specified in Clause 3.2.2. The Carrier shall not be liable to the Merchant for any direct, consequential or other damages under this Contract, except as set forth in Article 3, nor shall any liabilities or obligations of the Merchant to the Carrier be subject to any offset or credit by virtue of any monies which the Merchant may claim are due him under this Contract or otherwise.

See, RX 3 and 16.

RESPONSE: CertiFit admits that the referenced language speaks for itself but denies any implication that this contractual language limits CertiFit's ability to address potential violations of the Shipping Act. *See* 46 U.S.C. § 41301.

8. With no complaint from EVERGREEN, for the first months of the contract period, CERTIFIT was not on pace to meet MQC, even though EVERGREEN could have accommodated its shipments, CERTIFIT conceding, “[m]any of our suppliers closed or reduced production earlier this year due to the pandemic, which put us behind our usual pace of shipment.” See, RX 3 and 20-21.

RESPONSE: Admitted in part and denied in part. CertiFit admits that the quoted language was sent to EGA on August 13, 2020, but denies it supports the truth of the matter asserted. By the end of the term of the 2020 Service Contract, CertiFit had attempted to ship approximately 550 containers which is 1,237.5 TEUs, however, Evergreen only accepted and

transported 156 containers. RX000065; *see also* CX13-0816-0821. EGA and Evergreen's reliance on the COVID-19 pandemic is also misplaced. Approximately two years before the pandemic, CertiFit faced the same practice of cancelled bookings in an effort to sell off space, inhibit CertiFit's ability to meet the MQC, and/or confirming bookings in the late stage of the term thus jeopardizing CertiFit's ability to meet the MQC agreed upon. *See* Aug. 28, 2018 correspondence, CX7-0530-0531.

9. But by mid-August of 2020, CERTIFIT advised that "now most are back on line, and we have been tendering containers in increasingly higher numbers," and CERIFIT began complaining of insufficient space. See, RX 4 and 20-21.

RESPONSE: Admit in part and denied in part. CertiFit admits that the quoted language was sent to EGA on August 13, 2020, but denies it supports the truth of the matter asserted. CertiFit's correspondence dated April 19, 2021 points out that "Taiwan responded quickly to this threat to public and never has issued a 'stay-at-home' order or gone into lockdown...CertiFit is classified as a 'critical infrastructure' business under U.S. law, so it was able to continue operating." CX7-0582-0584. Moreover, CertiFit has demonstrated that it requested bookings for over 500 containers from August 27, 2020 – April 9, 2021. CX13-0816-0821.

10. In each instance, timely EGA responded that the incapacity was due to the unique effects of the COVID-19 pandemic on supply-chain, reasons beyond EVERGREEN's control, and that EVERGREEN was nonetheless not seeking any rate increase. See, RX 4, 23-24, and 26-28.

RESPONSE: Admit in part and deny in part. CertiFit admits EGA's responses to CertiFit's written correspondence dated 8/13/20, 11/12/20, and 4/19/21 speak for themselves. CertiFit denies that EGA and Evergreen's conduct was "unique" to the pandemic as the same practices were occurring in 2018. *See* CX7-0530-0531.

11. Indeed, and also as widely reported elsewhere at the time, the Federal Maritime Commission has itself since found that the pandemic resulted in "extreme supply chain port and marine terminal congestion" during this period, including, inter alia, "an unexpected and

unprecedented surge in consumer spending, particularly in the United States, and supply chain congestion,” which was “the product of the market forces of supply and demand,” rather than any alleged collusive behavior or price-gouging. See, RX 4; see also, International Ocean Transportation Supply Chain Engagement, Docket No. FFno29 (F.M.C. May 31, 2022).

RESPONSE: Admit in part and deny in part. CertiFit admits that the Commission’s findings speak for themselves but denies that EGA has presented any admissible evidence regarding “unprecedented surge[s] in consumer spending...congestion...[or] the market forces of supply or demand” to support this contention as it relates to CertiFit. CertiFit also points to the Commission’s finding which estimates “that container lines ultimately canceled more than 1,000 voyages during the first six months of 2020” and “[t]he average spot market price of shipping a 40-foot container hovered around \$1,500 in the first week of May 2020, [and] reached a peak of \$11,109 in September 2021.” *See* International Ocean Transportation Supply Chain Engagement, Docket No. FFno29, pp. 9-10, 40 (F.M.C. May 31, 2022).

12. The evidence of the impact of the pandemic on virtually all commerce can be seen in CERTIFIT’s own correspondence, wherein it admitted it was unable to ship cargo during the early months of the pandemic. See, RX 4 and 20-21. As FFno29 recounts, the impact of the pandemic affected different elements of the supply chain in different ways at different times. See, RX 4; see also, International Ocean Transportation Supply Chain Engagement, Docket No. FFno29 (F.M.C. May 31, 2022). Its effects grew on carriers, while some manufacturers, such as CERTIFIT, suffered its ramifications at an earlier stage. See, RX 4; see also, International Ocean Transportation Supply Chain Engagement, Docket No. FFno29 (F.M.C. May 31, 2022). But just as CERTIFIT was unable to perform its obligations in the early part of the pandemic, EVERGREEN was overcome by supply-chain failures later in the pandemic. See, RX 4 and 20-21.

RESPONSE: Admit in part and deny in part. CertiFit admits that the Commission’s findings in “International Ocean Transportation Supply Engagement” speak for themselves but denies EGA’s assertion that the Commission’s findings provide “evidence of the impact of the pandemic” as it relates to CertiFit. *See* CX13-0816-0821 (CertiFit business records showing booking requests to EGA and Evergreen for over 500 containers

from August 28, 2021 – April 8, 2021). CertiFit further denies that it is a “manufacturer” as alleged by EGA.

13. In an effort to assist, on or about January 8, 2021, Amendment SC82616-1 was offered to CERTIFIT. See, RX 4-5, 30-43. Contrary to CERTIFIT’s patent misstatement of fact, the 1000 TEU MQC would have remained unchanged. See, RX 4-5, 30-43. Due to persistent equipment shortages at Keelung/Taoyun, it was thought Taipei might be added (at the same rate), so that more CERTIFIT cargo might be booked. See, RX 4-5, 30-43. It was just an attempt to address the problem of insufficient booking from Kaohsiung, since the approval of the Taipei port would have allowed for more bookings. See, RX 4-5, 30-43. Certainly, neither EGA nor EVERGREEN ever tried to coerce CERTIFIT to sign the Amendment by threatening to withhold space, charge a higher rate, or in any other manner. See, RX 4-5, 30-43. To be sure, the text of the Amendment and the correspondence associated with it confirm that no such conduct on the part of EGA or EVERGREEN ever occurred. See, RX 4-5, 30-43.

RESPONSE: Admit in part and deny in part. CertiFit admits that the first unsolicited amendment (“First Amendment”) proposing the addition of the Port of Taipei, dated January 1, 2021, was sent at some point in early January 2021. CertiFit further admits that the First Amendment did not reduce the MQC to 25 TEUs; however, there are two amendments titled “SC82616-1.”² CertiFit denies that EGA has presented any admissible evidence supporting its contention regarding “equipment shortages,” port-specific shortages, or that the addition of the Port of Taipei would guarantee “more bookings.”

CertiFit also denies EGA’s contention that “neither EGA nor EVERGREEN ever tried to coerce CERTIFIT to sign the Amendment by threatening to withhold space, charge a higher rate, or in any other manner.” On January 14, 2021, EGA’s Kenneth Wu e-mailed CertiFit, stating: “All bookings held up at this time due to the contract has yet to be

² CertiFit’s brief contends that the Evergreen Amendments were contemporaneous which, after further review, appears incorrect. Because both amendments are designated as “Amendment No.: 1,” counsel did not differentiate between the two. *Compare* Respondent’s Ex. E, RX000030 with Ex. H, RX000050 (both designated as “Amendment No.: 1”). Moreover, EGA’s 4/29/21 e-mail correspondence forwarding the proposed Second Amendment is titled “Termination Service Contract Signature A/C: Certifit SC82616-1 (T) which is different from the Amendment provided as Respondent’s Ex. H.

confirmed and filed to add Taipei.” CX7-0588. This correspondence demonstrates that CertiFit’s ability to book space was withheld until it signed the First Amendment. While it is true that CertiFit does not have any documentation supporting its allegation of EGA and Evergreen’s demands for payments in excess of the rates agreed upon, CertiFit has provided correspondence spanning from 2018 through 2022 which demonstrate these tactics were an ongoing endeavor. *See* CX7-0530-31; CX7-0543-44; CX7-0558-59; CX7-0582-84 (CertiFit describing EGA and Evergreen’s consistent practice of not accepting tendered cargo, preventing CertiFit from satisfying the MQC agreed upon, demanding fees in excess of the Contract, and causing unnecessary fees for detention and demurrage). Notably, CertiFit had no complaints of excess fees being demanded in August 2018, however, just three years later—and during the first year of the pandemic—CertiFit’s August 13, 2021 correspondence describes EGA’s demand for additional payment. *See* CX7-0530-31; CX7-0543-44; CX7-0558-59; CX7-0582-84.

14. In any event, CERTIFIT never signed the Amendment, so the situation remained unchanged. *See*, RX 5, 30-43.

RESPONSE: Admit in part and deny in part. CertiFit admits that it did not execute the First Amendment adding the Port of Taipei but denies PFF 14 to the extent that “the situation remained unchanged” as a result of CertiFit declining to execute the proposed Amendment. *See* CX7-0530-31; CX7-0543-44; CX7-0558-59; CX7-0582-84 (noting that Evergreen had engaged in similar conduct in 2018, which continued into 2020-2021).

15. Months later, on or about April 28, 2021, EVERGREEN then separately offered to renegotiate the Service Contract so that CERTIFIT might avoid liquidated damages for its MQC shortfall. *See*, RX 5, 45, and 47-48. Amendment SC82616-1 (T) would have thus reduced the TEU’s from 1000 to 25. *See*, RX 5, 45, and 47-48. It did not, as CERTIFIT falsely asserts, change any of the ports. *See*, RX 5, 45, and 47-48. Again, this is readily confirmed by examination of the document itself. *See*, RX 5, 45, and 47-48. CERTIFIT has thus conflated the two separate and discrete amendments. While EVERGREEN went on to carry 365 TEUs, not merely 25, this second

Amendment was designed not to benefit EVERGREEN but solely to avoid penalty to CERTIFIT as a result of the shortfall. See, RX 5, 45, and 47-48.

RESPONSE: Admit in part and deny in part. CertiFit admits that Mr. Bennett’s April 28, 2021 e-mail correspondence, RX000047, speaks for itself. CertiFit denies the proposed amendment, SC82616-1 (T), which proposed reducing the MQC from 1,000 TEUs to 25 TEUs (“Second Amendment”), was provided by EGA “to avoid a penalty.” First, the only e-mail relating to the Second Amendment was sent to CertiFit on 4/29/21 and is titled, in relevant part, “Termination Service Contract Signature A/C: Certifit SC82616-1 (T).” RX000045. As evidenced by CertiFit’s e-mail correspondence on the same day, 4/29/21, it requested additional information to determine the number of additional sailings it was entitled to under the 2020 Service Contract—a figure that would increase based on the number of TEUs tendered by CertiFit but not carried by Evergreen. *See* RX000065. Neither EGA nor Evergreen provided this information. *See generally* Respondent’s Exhibits I-L (RX-64, RX-67, RX-70, and RX-73). Second, Evergreen was not entitled to the liquidated damages “penalty” it claims because CertiFit had tendered well beyond the 1,000 TEUs as evidenced by CertiFit’s business records outlining all booking requests to Evergreen. CX13-0816-0821. EGA and Evergreen were the only parties that would benefit from the unsolicited reduction in TEUs as proposed in the Second Amendment.

16. Rather than show any improper activity on the part of EGA or EVERGREEN, the two proposed Amendments, when not misleadingly combined into one and twisted by CERTIFIT, demonstrate precisely the opposite: perfectly innocent and routine good faith efforts to try to assist, without raising rates or exposing CERTIFIT to liquidated damages, all in full accordance with the above-cited Service Contract provisions. See, RX 5-6, 45, and 47-48.

RESPONSE: Denied. *See* CX7-0588; CX7-0530-31; CX7-0543-44; CX7-0558-59; CX7-0582-84; CX13-0816-0821; RX000065.

17. In any event, CERTIFIT again declined the offer and instead sought to extend the contract by an additional number of sailings so as to satisfy the MQC requirement. See, RX 6 and 65-66.

RESPONSE: Admit in part and deny in part. CertiFit admits that it did not execute the proposed Amendments but denies any implication that it failed to satisfy the MQC requirement. *See* RX000065; CX13-0816-0821.

18. However, in further correspondence and a telephone conference with CERTIFIT's counsel, the continuing supply-chain difficulties were explained and discussed, and potential avenues to resolve the situation were solicited. See, RX 6 and 68-69.

RESPONSE: Admit in part and deny in part. CertiFit admits that it had "further correspondence and a telephone conference" with EGA but denies that "the continuing supply-chain difficulties" asserted in this PFF 18 were the sole reason for EGA and Evergreen's unreasonable conduct. For example, on January 14, 2021, EGA's Kenneth Wu informed CertiFit that its bookings were being "held up" due to the First Amendment not being "confirmed and filed to add Taipei." CX7-0586. Because CertiFit and its suppliers were relying on the port pairings identified in the 2020 Service Contract, the unsolicited proposal from EGA made little sense especially considering that shipping from the Port of Taipei was cost prohibitive given the location of CertiFit's various suppliers and the Port of Taipei being located in the northernmost portion of Taiwan as opposed to the southern region where the agreed upon port pairings were located. CX4-0486.

19. On or about May 26, 2021, CERTIFIT presented an offer of compromise, whereby capacity for at least 27 TEU's per week would be provided at a higher rate. See, RX 6 and 71-72.

RESPONSE: Admit that EGA's Ex. K, RX000071-72, speaks for itself.

20. On or about June 3, 2021, EGA presented EVERGREEN's counter-offer. See, RX 6 and 74-79. Notably, in light of the conditions still prevailing, EVERGREEN could only agree to 647 TEU's over 12 months, though warning that even that might be undermined by a continuation of the unforeseen market-driven forces. See, RX 6 and 74-79.

RESPONSE: Admit in part and deny in part. CertiFit admits that Evergreen's Ex. L (RX-73-79) speaks for itself but denies EGA and/or Evergreen has provided admissible evidence demonstrating "conditions still prevailing" or "unforeseen market-driven forces" as stated in Ex. L. RX-73-79.

21. On or about June 10, 2021, CERTIFIT responded that it was "willing to accept Evergreen's compromise," and just had some questions. See, RX 6 and 74-79. On or about June 21, 2021, EGA answered those questions and again confirmed, inter alia, that EVERGREEN was not seeking any rate increase and would continue to exercise its best efforts to meet CERTIFIT's requirements, but, given the ongoing supply-chain disruptions, could not absolutely guarantee the space would be available. See, RX 6 and 74-79.

RESPONSE: Admit in part and deny in part. CertiFit admits that the referenced correspondence speaks for itself but denies that EGA or Evergreen has provided any admissible evidence regarding "ongoing supply-chain disruptions" as stated. CertiFit further denies the relevance of the communications cited as the term of the 2020 Service Contract ended on April 30, 2021. CX4-0484.

22. However, no reply was received and, rather than go forward with the compromise, the instant Complaint followed. See, RX 6 and 74-79.

RESPONSE: Admit that CertiFit filed this action with the Commission on April 26, 2023. CX6-0513.

23. EGA notes that CERTIFIT has not really proved that it could have met MQC. See, RX 6.

RESPONSE: Denied. The MQC contained in the 2020 Service Contract is 1,000 TEUs which equals 444.4 40' high cube containers. CX13-0798, § 3.2.2. From August 27, 2020 through April 8, 2020, CertiFit submitted booking requests to Evergreen totaling 522 containers. CX13-0816-0821. But for EGA's unreasonable conduct as outlined in CertiFit's brief, CertiFit would have met the MQC agreed upon.

24. But regardless, as indicated above, at no time did EGA or EVERGREEN ever act in bad faith or decline to negotiate with CERTIFIT. EGA and EVERGREEN attempted throughout to find

solutions to possibly minimize the impact of the supply-chain disruption upon CERTIFIT, all in complete compliance with the above-cited terms of the Service Contract. See, RX 7.

RESPONSE: Denied. EGA and Evergreen’s conduct were made in bad faith as evidenced by Kenneth Wu’s January 14, 2021 email in which he expressly stated that CertiFit’s bookings were being “held up” until CertiFit executed the First Amendment adding the Port of Taipei. CX7-0588. Moreover, EGA and Evergreen’s characterization of “negotiations” is not relevant to the extent they occurred after the expiration of the term of the 2020 Service Contract—April 30, 2021. CX4-0484; *see also* Respondent’s Exhibits I-L (RX-64-66, RX-67-69, RX-70-72, and RX-73-79).

25. At no point did EGA or EVERGREEN withhold services to try to secure higher rates. See, RX 7. Indeed, CERTIFIT’s bookings continued throughout, and the only rate increase apparent from the documents provided by CERTIFIT’s was the general rate increase (GRI) bulletin email sent in October of 2020 to all customers every month. See, RX 7. However, that bulletin had no bearing on the Service Contract at issue, and no rate increase applied to CERTIFIT. See, RX 7. The simple facts, confirmed by the documentary record, are that space for CERTIFIT’s cargoes was never purposefully withheld, and CERTIFIT was never asked to increase its contract rate. EGA notes that CERTIFIT has presented no evidence of such conduct on the part of EGA or EVERGREEN, accordingly. See, RX 7.

RESPONSE: Admit in part and deny in part. CertiFit admits, upon further review, that the GRI increase of \$1,000 was not applied to CertiFit. CertiFit denies that space “was never purposefully withheld” as demonstrated by Kenneth Wu’s January 14, 2021 email expressly stating that CertiFit’s bookings were being “held up.” *See* CX7-0588; CX4-0484; *see also* Respondent’s Exhibits I-L (RX-64-66, RX-67-69, RX-70-72, and RX-73-79). CertiFit further denies that EGA and/or Evergreen repeatedly demanded rate increases over the term of the 2020 Service Contract. Unfortunately, for obvious reasons, these demands were not made in writing, however, CertiFit consistently referenced these demands in its correspondence to EGA. *See* CX7-0543 and CX7-0558.

26. And at no point did EGA or EVERGREEN favor other shippers or sell CERTIFIT's space on the spot market. See, RX 7-8. Not only has CERTIFIT, again, presented no colorable evidence to show otherwise, but such allegations are categorically denied and demonstrably false. See, RX 7-8. Of the 133 total NVO house bills of lading disclosed by CERTIFIT, 30 bills of lading (covering 31 Containers) show carriage by EVERGREEN vessels. See, RX 7-8. However, all of them were under Ocean Alliance partners contracts (CMA/COSCO). Id. None of them were under EVERGREEN contract. See, RX 7-8.

RESPONSE: Admit in part and deny in part. CertiFit admits that the referenced bills of lading speak for themselves. CertiFit denies knowledge or information sufficient to form a belief as to the terms of the "Ocean Alliance partners contracts" as EGA only cites the Declaration of Mr. Bennett in support of this PFF. As evidenced by the hundreds of requested bookings to EGA and Evergreen, CX13-0816-0821, the cancellation of the same forced CertiFit to pursue alternative shipping arrangements oftentimes obtained through NVOCCs at an increased mark-up. *See generally* CX1-CX3, CX8 (calculating the amounts paid by CertiFit above the contracted rates contained in the 2020 Service Contract due to the conduct alleged). CertiFit further asserts that based on the "door service" provided, it has no ability to determine the sailing schedule, choice of vessel, date of sailing, or even the use of drayage haulers and rail lines as the shipment moves over land. *See generally*, CX4-0480.

27. The space contractually required to be allotted by a carrier to an Alliance partner is outside the control of the provider, which does not act as the "common carrier" nor issue bills of lading for such space. See, RX 7-8. Here, the space provided for CERTIFIT cargoes on EVERGREEN vessels was all afforded under bills of lading issued by other common carriers which had complete discretion over the space used. Id. The space was thus not for EVERGREEN to use and sell at its whim. So CERTIFIT's argument that these documents suggest some sort of nefarious conduct or profiteering at CERTIFIT's expense is wholly misplaced and demonstrates a fundamental misunderstanding of the trade, if not a rather sorry attempt to mislead this tribunal. See, RX 7-8.

RESPONSE: Denied as stated. CertiFit denies knowledge or information sufficient to form a belief as to the "space contractually required to be allotted by a carrier to an Alliance partner" as EGA only cites the Declaration of Mr. Bennett, which fails to describe

this arrangement with any particularity. What remains clear, is on several occasions—and after its bookings being cancelled by EGA and Evergreen, CertiFit’s cargo ended up on Evergreen’s vessels after it paid a rate that was above the rates agreed upon in the 2020 Service Contract. *See generally* CX1-CX3, CX8 (calculating the amounts paid by CertiFit above the contracted rates contained in the 2020 Service Contract due to the conduct alleged).

DATED this 7th day of June, 2024

Respectfully,
CHRISTENSEN & JENSEN, P.C.

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